

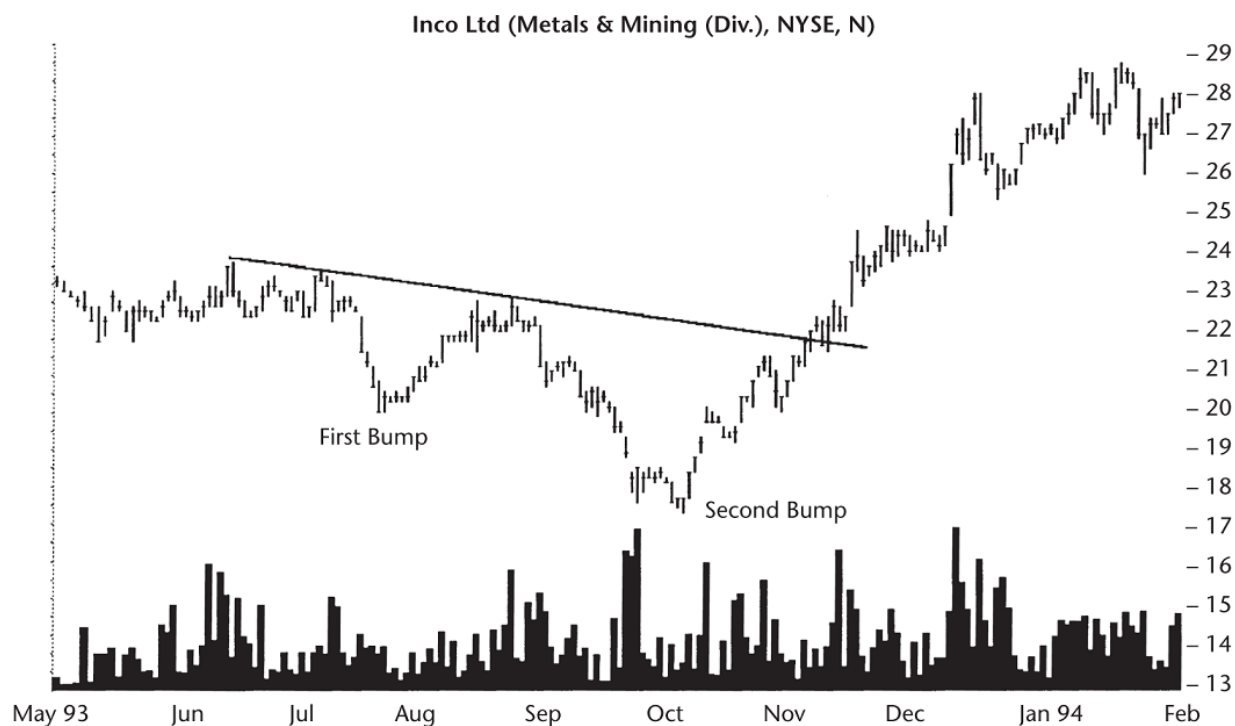


Figure 14.4 Consider waiting to buy the stock until after it breaks out upward. A trader buying into this situation during July would have lost money in the short term.

Table 14.5 shows size statistics for the BARR bottom pattern.

Height. Tall patterns perform better than short ones. To use this information, measure your pattern from the highest high to the lowest low and divide by the breakout price (where price closes above the down-sloping trendline).

Compare the result with the median in the table. If your value is higher than the median, then consider your pattern tall; lower than the median means it's short. Trade tall patterns for the best performance. However, also note that the performance difference between short and tall isn't great: three percentage points. So if the computation is too difficult for your fingers to handle and you don't want to use your toes, then ignore it. The stock will perform however it wants. Your challenge will be to get as much money out of the trade as possible.

Width. Wide patterns perform better than narrow ones, but only in bear markets. I used the median width as the separator between narrow and wide.